

from the classic error of all conventional analysts, which is to assume that events cause cycles rather than understanding that cycles prompt events. As a result, their analysis was off by a decade, and our time forecast suffered as a result.

Despite this error, our Kondratieff cycle study was indispensable in supporting the Elliott Wave case that a stock market boom lay directly ahead. Even being off by a decade could not disrupt the inescapable conclusion that no depression was imminent. On October 5, 1981, at the bottom of a big slide in stock prices, when worry was widespread, *The Elliott Wave Theorist* said:

I do *not* subscribe to the idea that the Kondratieff cycle turn to the downside has been made. My work overwhelmingly supports the idea that [the stock market] is in for a huge move to the upside *right now*, indicating a period of several years of *extremely high liquidity* (reflation) and a recovery in the economy. And what better way to start upward than to have the opinion of the public at its highest level of bearishness since the 1974 Cycle wave low?

That was ten months before the great liftoff. *The Elliott Wave Theorist* repeatedly countered “killer wave” arguments until the stock market boom could no longer be denied. No killer wave occurred, of course, and today the very idea has long been forgotten, just when it truly pertains.

The behavior of monetary conditions and the economy provided both initial confusion and the final answer to the question of the Kondratieff cycle’s true position. The double peaks in inflation in 1974 and 1980 and the double recessions of 1974-1975 and 1980-1982 produced a complex transition from the inflationary period to the plateau period. The resumption of the rise of gold and silver prices in the latter half of the 1970s and their subsequent reversal in 1980 suddenly made it clear that the assumption that the previous Kondratieff cycle had bottomed in the 1930s and peaked in the mid-1970s was wrong.

As *The Elliott Wave Theorist* later put it, “The charts and dates make it absolutely clear that the Kondratieff cycle’s inflationary peak was 1980-1981, *not* 1974 as many analysts still insist.” Deep within the recession of 1982, *The Elliott Wave Theorist* quickly came to the proper conclusion, that the Kondratieff cycle’s post-inflation recession was in progress or ending, and that there was a strong probability that finally, “the plateau has just begun.” The November issue of that year added, “A Kondratieff plateau period fits here